

Stanbic Holdings FY20 Earnings Note

Stanbic Holdings' FY20 net earnings declined 18.6% y/y to KES 5.2B driven by a 54.8% y/y uptick in loan loss provisions, a 4.1% decrease in net interest income and a 8.7% drop in non funded income. The bottom-line was however supported by a 12.8% y/y drop in operating expenses to KES 12.1B.

DATE:	**5th March 2021**
Target Price:	**KES 102.28**
Current Price:	**KES 84.50**
Upside:	**21.0%**
52 Week High:	**KES 72.25**
52 Week Low:	**KES 117.75**



Single digit growth in loans and advances

In line with our expectations of single digit growth in loans and advances on the back of slowed lending due to a shutdown in most sectors of the economy, the groups loans and advances increased 2.7% y/y to KES 196.3B. Covid-19 containment measures saw a shutdown in the education, tourism and hospitality sectors and a slowdown in the manufacturing sector.

Non funded income dims

The group's non funded income declined 8.7% y/y to KES 10.4B which coupled with a 4.1% decline in net interest income saw total income diminish 6.2% y/y to KES 23.2B. We remain worried of the huge drop in NFI given an expected slowdown in interest margins with NFI expected to shield topline growth.

Loan loss provisions dim bottom-line

In line with our expectations, NPLs grew 29.4% y/y to KES 25.0B with an NPL ratio of 12.8%. Loan loss provisions grew 54.8% y/y to KES 4.9B with a cost of risk of 2.5%. We anticipate an improvement in the asset book quality due to a general recovery in business activity with the reopening of sectors of the economy.

Outlook

The Group's FY20 performance was largely in line with our expectations; we are optimistic of a recovery in profitability in FY21 on the back of an improvement in the operating environment that is expected to see growth in lending to the private sector. However, as banks remain cautious on the credit risk profiles of their clients, we may see the government continue to crowd out the private sector as banks opt to increase their holdings of government securities.

We maintain a BUY recommendation on Stanbic Holdings with a target price of KES 102.28 offering a potential upside of 21.0% on the current price of KES 84.50. The counter is trading at p/e and p/b multiples of 6.4x and 0.8x respectively.

Linda Kiraithe
lk@aib-axysafrica.com
+254719712031

Financial Statements

Income Statement	FY19 KES M	FY20 KES M	% y/y
Net interest income	13,348	12,795	-4.1%
Non interest revenue	11,433	10,442	-8.7%
Total Income	24,781	23,237	-6.2%
Credit impairment charges	(3,151)	(4,876)	54.8%
Income after impairment charges	21,630	18,362	-15.1%
Total operating expenses	(13,920)	(12,135)	-12.8%
Profit before taxation	7,710	6,227	-19.2%
Income tax expense	(1,329)	(1,035)	-22.1%
Profit for the period	6,381	5,192	-18.6%
EPS	16.14	13.13	-18.6%
DPS	7.05	3.80	-46.1%

Balance Sheet			
Cash and balances with CBK	17,251	18,077	4.8%
Financial investments	70,078	87,584	25.0%
Loans and advances	191,195	196,300	2.7%
Total assets	303,625	328,595	8.2%
Deposits and current accounts	224,673	259,970	15.7%
Borrowings	9,127	5,504	-39.7%
Total liablities	254,590	276,864	8.7%
Total equity	49,035	51,731	5.5%

Ratios			
Gross NPL (KES M)	19,345	25,038	29.4%
NPL Ratio	10.1%	12.8%	
Cost of Risk	1.6%	2.5%	
Loan to Deposits	85.1%	75.5%	
Non Funded/Total Income	46.1%	44.9%	
Cost to Income Ratio	56.2%	52.2%	
ROE	26.0%	20.1%	
ROA	4.2%	3.2%	
P/B (x)		0.8	
P/E (x)		6.4	

Source: AIB-AXYS Research, company fillings

CONTACTS:

Research Desk
Sarah Wanga
sw@aib-axysafrica.com
(+254) 711047105

Linda Kiraithe
lk@aib-axysafrica.com

Equities Dealing
Bernard Kung'u
kungub@aibcapital.com
(+254) 711047108

Benard Gichuru
gichurub@aibcapital.com
(+254) 711047111

Brian Tanui
tanuib@aibcapital.com
(+254) 711047124

Samuel Githinji
sg@aib-axys-africa.com
(+254) 719687633

Bond Dealing
Crispus Otieno
otienoc@aibcapital.com
(+254) 711047113

Titus Marenye
marenyet@aibcapital.com
(+254) 711047118

Investment ratings

- **BUY:** Issued on counters with strong fundamentals whose upside lies between 10.0% and 20.0%.
- **HOLD:** Issued on counters with an upside of between 1% and 10.0%
- **SELL:** The counter currently has weak fundamentals coupled with potential downside.

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.